

IS THERE SUCH A THING AS A ZERO-FEE CREDIT CARD?

Agents may misguide you by saying a credit card requires no joining or annual fee

CREDIT CARD	ANNUAL FEE	ANNUAL FEE WAIVER APPLICABLE ON
▶ ICICI Coral Card	₹500	Spending of ₹1.5 lakh in a year
▶ Axis Bank Magnus Credit Card	₹12,500	Spending of ₹25 lakh in a year
▶ Axis ACE Credit Card	₹499	Spending more than ₹2 lakh in a year
▶ Standard Chartered Bank EaseMyTrip Credit Card	₹350	Spending ₹50,000 in a year
▶ HDFC Diners Club Privilege	₹2,500	Spending ₹3 lakh in a year

SOURCE: PAISABAZAAR.COM

▶ **MOST CREDIT CARDS DON'T COME WITHOUT A COST**

▶ **A CARD BECOMES ZERO-FEE ONLY WHEN YOU MAKE SEVERAL MANDATORY PURCHASES THAT RESULT IN THE WAIVER OF ANNUAL FEES**

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national transactions. Another aspect to consider is to look at the rate at which you earn rewards. For example, a card with a flat 2 per cent cash back on all purchases can be better than enhanced reward points on transactions done only with select merchants.

Number of cards: There is no rule around how many credit cards you can have. Owning multiple cards comes with its own risks and benefits. "If you own more than one credit card, you can strategically use them to maximise your savings by putting the right spend on the right card," says Chhibbar. He adds that users can also plan their usage as per each card's billing cycle, which can help them manage their monthly cash flows smartly. The unused credit limit on multiple cards can also be helpful during emergencies.

However, experts warn that if users don't manage their credit cards well, it can lead to overspending and increase their risk of falling into a debt trap. Besides, owning too many credit cards with high balances on each might indicate a higher dependency on credit, and make you seem credit-hungry.

Credit card devaluation: Understanding the reasons behind the devaluation of a credit card's benefits is essential. Typically, a credit card's value is associated with its rewards. But card issuers can devalue a card by chang-

ing its reward structures, reducing the redemption value of points, or increasing the number of points required for specific rewards. Hence, it is crucial to review the new terms of your card's benefits. Khosla says that it is also better to redeem your points before they lose value, as many cards' reward points expire over time.

It is also important to understand the new reward structure as it will help you decide if the card aligns with your spending habits or financial goals. If not, you may cancel it. But decide carefully, as closing a credit card can temporarily lower your credit score. "Some issuers let you switch to a different card without a hard credit inquiry," says Khosla.

In conclusion, it is imperative that you understand the terms and conditions of a card before applying for a new one. Remember, a credit card limit isn't a gift; it's a loan that you must repay on time. It is also important to prioritise staying on top of your payments, as any delay can negatively impact your credit score and result in future challenges. Further, you should also keep an eye on your account statements, and set up alerts to monitor for any potential fraud. While enticing sign-up bonuses might seem attractive, evaluating if a card aligns with your long-term financial needs and habits is crucial to maintaining good financial health. **BT**

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